CASCADIA ANALYTICS

# Centrus Energy Corp.

Equity Research Note | LEU | 22 OCTOBER 2026

## Only US HALEU Producer

Centrus Energy screens as a Hold, Valuation Concerns with a $81.81 blended target, 21% below the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $103.43 | $81.81 | -21% | HOLD, VALUATION CONCERNS |

### Investment Thesis

Only US HALEU Producer. Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain. Contracted Growth. $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it. Priced Above Our Corrected Base.

- Only US HALEU Producer
- Contracted Growth
- Priced Above Our Corrected Base

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## The latest print

**Contracted Growth.** $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments. Demand is contracted; the job now is building the cascades to deliver it.

**Priced Above Our Corrected Base.** At $103.43, the market implies an 11.5% revenue CAGR, just below our 12% base case. Our corrected base $79.71 implies 23% downside: we moderated the model's flat EBIT margins to the filed gross-margin record and anchored the share count to the September 2026 offering (24.4M diluted, including the pre-funded warrants), with the $490M of net offering proceeds in the cash bridge. The stock is down 53% YTD on dilution fears, not demand loss.

| $176.1M | $49.9M | $16.8M | $1.77 | $4.5B | $450–500M |
|---|---|---|---|---|---|
| REVENUE (Q2 2026) | GROSS PROFIT (Q2) | NET INCOME (Q2) | ADJ EPS (Q2) | BACKLOG (THRU 2040) | FY2026 REVENUE GUIDE |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 2026)** | $176.1M | +14.0% | Up |
| **Gross Profit (Q2)** | $49.9M | n/a | Up |
| **Net Income (Q2)** | $16.8M | -41.9% | Down |
| **Adj EPS (Q2)** | $1.77 | -6.8% | Down |
| **Backlog (thru 2040)** | $4.5B | n/a | Up |
| **FY2026 Revenue Guide** | $450-500M | ~+5% | Flat |
| **FY2026 Capex Guide** | $350-500M | n/a | Up |

## The moat

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

## The growth engine

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments

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## Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

| SCENARIO | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|
| **Bear** | 5.0% | $577M | 15.0% | **$51.11** | -51% |
| **Base** | 12.0% | $747M | 20.0% | **$79.71** | -23% |
| **Bull** | 18.0% | $921M | 25.0% | **$116.73** | +13% |

**Bear:** downside case at $51.11 (-51%).

**Base:** central case at $79.71 (-23%).

**Bull:** upside case at $116.73 (+13%).

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# The probability-blended target implies 21% downside

The blended target implies -21% from the $103.43 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

**$81.81**
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

| | |
|---|---|
| Reference price | **$103.43** |
| Bear target | **$51.11** |
| Base target | **$79.71** |
| Bull target | **$116.73** |
| Blended target | **$81.81** |
| Terminal value share of Base enterprise value | **137.4%** |

**HOLD, VALUATION CONCERNS | $81.81 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

The market-implied revenue CAGR is 11.5%, between Bear (5%) and Base (12%) — cautious.

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| -10% | $0.6B | $73.76 | +10% | $1.3B | $101.34 | +30% | $2.4B | $147.82 |
| -9% | $0.6B | $74.79 | **+11%** | **$1.3B** | **$103.16** | +31% | $2.5B | $150.77 |
| -8% | $0.7B | $75.85 | +12% | $1.4B | $105.03 | +32% | $2.6B | $153.78 |
| -7% | $0.7B | $76.94 | +13% | $1.4B | $106.94 | +33% | $2.6B | $156.86 |
| -6% | $0.7B | $78.07 | +14% | $1.5B | $108.91 | +34% | $2.7B | $160.01 |
| -5% | $0.8B | $79.24 | +15% | $1.5B | $110.92 | +35% | $2.8B | $163.23 |
| -4% | $0.8B | $80.43 | +16% | $1.6B | $112.99 | +36% | $2.9B | $166.51 |
| -3% | $0.8B | $81.67 | +17% | $1.6B | $115.11 | +37% | $3.0B | $169.87 |
| -2% | $0.8B | $82.94 | +18% | $1.7B | $117.28 | +38% | $3.0B | $173.30 |
| -1% | $0.9B | $84.25 | +19% | $1.7B | $119.51 | +39% | $3.1B | $176.81 |
| +0% | $0.9B | $85.59 | +20% | $1.8B | $121.79 | +40% | $3.2B | $180.39 |
| +1% | $0.9B | $86.98 | +21% | $1.8B | $124.13 | +41% | $3.3B | $184.04 |
| +2% | $1.0B | $88.41 | +22% | $1.9B | $126.52 | +42% | $3.4B | $187.77 |
| +3% | $1.0B | $89.87 | +23% | $2.0B | $128.97 | +43% | $3.5B | $191.58 |
| +4% | $1.0B | $91.38 | +24% | $2.0B | $131.48 | +44% | $3.6B | $195.47 |
| +5% | $1.1B | $92.93 | +25% | $2.1B | $134.05 | +45% | $3.7B | $199.44 |
| +6% | $1.1B | $94.52 | +26% | $2.2B | $136.68 | +46% | $3.8B | $203.48 |
| +7% | $1.2B | $96.16 | +27% | $2.2B | $139.37 | +47% | $3.9B | $207.61 |
| +8% | $1.2B | $97.84 | +28% | $2.3B | $142.13 | +48% | $4.0B | $211.83 |
| +9% | $1.2B | $99.57 | +29% | $2.4B | $144.94 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|
| **Bear** | $65.8M | $1.18B | $1.25B | **$51.11** |
| **Base** | $764M | $1.18B | $1.94B | **$79.71** |
| **Bull** | $1.67B | $1.18B | $2.85B | **$116.73** |

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## Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 137.4% of Base enterprise value (Bear 708.9%, Bull 108.8%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $50.95 | $55.19 | $75.07 | $86.90 | $95.35 | $102.12 |
| **Base** | $79.36 | $85.97 | $107.58 | $121.30 | $131.45 | $139.49 |
| **Bull** | $116.11 | $125.78 | $149.87 | $166.19 | $178.68 | $188.51 |

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $81.81 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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# The franchise deep dive

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments

Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel

$4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions)

## Revenue and margin trend

| METRIC | FY22 | FY23 | FY24 | FY25 | TTM |
|---|---|---|---|---|---|
| **Revenue** | $293.8M | $320.2M | $442.0M | $448.7M | $473.9M |
| **Net Margin** | 17.8% | 26.4% | 16.6% | 17.3% | 10.2% |
| **Free Cash Flow** | $19.9M | $7.5M | $32.9M | $31.3M | n/a |

## Valuation cross-check

P/E (TTM) 29.2x

DCF Base $79.71

PEG 2.87

DCF implies 23% downside from $103.43 on the corrected model (margins moderated to the filed record; shares anchored post-offering), and 29x P/E is full for lumpy, government-tied earnings.

Uranium peer multiples not sourced

Scored neutral pending peer data.

52wk high $464.25

YTD -53%

Trading far below historical levels; the market prices an 11.5% revenue CAGR, near our 12% base case.

## What to monitor

**Nov 4, 2026.** Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

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**End 2026.** Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

**2027-2030.** HALEU Commercial Ramp (Positive): X-energy, Radiant, Antares contracts with customer prepayments start delivering toward 2030.

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2022** | $294M | $118M | $60M | $78M |
| **2023** | $320M | $112M | $52M | $93M |
| **2024** | $442M | $112M | $48M | $86M |
| **2025** | $449M | $118M | $50M | $110M |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2022** | $706M | $780M | $-74M | $180M |
| **2023** | $796M | $764M | $32M | $201M |
| **2024** | $1.1B | $932M | $161M | $671M |
| **2025** | $2.4B | $1.7B | $765M | $2.0B |

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## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2022** | $21M | $-700K | $-4M | $20M |
| **2023** | $9M | $-2M | $14M | $8M |
| **2024** | $37M | $-4M | $437M | $33M |
| **2025** | $51M | $-20M | $1.2B | $31M |

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $81.81 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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# Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.03% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $62.3K of sales, a net flow of -$62.3K. One-year total shareholder return is -72.8% against CEO total pay of $1.90M (Mr. Amir V. Vexler), which the model scores as SUB-OPTIMAL ALIGNMENT.

**20**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 8 / 40 | 1.03% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 0 / 30 | Buys $0 (0) vs sales $62.3K (1), net -$62.3K, trailing six months |
| **Pay-for-Performance** | 12 / 30 | SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -72.8%; Mr. Amir V. Vexler, President, CEO & Director, total pay $1.90M |
| **Agency Risk Score** | **20 / 100** | Regime: HIGH AGENCY RISK // VALUE TRAP |

## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-05-11** | Tinelli Todd M | Chief Financial Officer | SELL | 306 | $62.3K |

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## SEC proxy audit, DEF 14A filed 2026-04-24

**Alignment grade A.** TOTAL PAY DECLINE (-38.7%). Amir V. Vexler, fiscal 2025 vs fiscal 2024; total compensation change year on year: -38.7%.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **$810,000** | $269,996 | $980,100 | $114,261 |

CEO reported compensation dropped 38.7% primarily because 2024 included a sizable sign-on equity grant of 20,000 RSUs alongside lower annual incentive payouts in 2025. Meanwhile, Centrus demonstrated explosive TSR performance (increasing from 288 to 1,050 on a $100 basis), driving Compensation Actually Paid up to $6.87M. Compensation shows disciplined grant-date discipline with high equity leverage tightly aligned to shareholder value creation.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1065059/000162828026027241/leu-20260424.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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## The bear case

### Dilution and Capital Intensity

~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible.

### Government Funding Dependence

The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards and prepayments depend on federal budgets and policy priorities.

### Contingent Backlog

About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to the Piketon expansion ($2.4B definitized). Delays in the build-out push contracted revenue further out.

### Lumpy Revenue

Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model.

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## The strengths

### Operating Quality

Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead. Our DCF carries flat EBIT margins of 15% (Bear), 20% (Base) and 25% (Bull), moderated from 31.6%/36.4%/41.7% after the October 2026 forensic audit showed the prior levels above the filed gross margin on the current mix (FY2025 gross margin 26.2%, Q2 2026 28.3%). At the filed operating-expense ratio of about 15% of revenue, the moderated margins imply gross margins of about 30%/35%/40% — inside the filed record in every scenario (FY2023 35.0%, FY2022 peak 40.1%).

### Recent Trend

Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.

### Forward Growth

$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered.

### Valuation

DCF base $79.71 implies 23% downside from $103.43 on the corrected model; the market prices an 11.5% CAGR, just under our 12% base case. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.

## Cascadia scorecard

**Composite score 55: Fair.** Confidence Medium, as of 23-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead. Our DCF carries flat EBIT margins of 15% (Bear), 20% (Base) and 25% (Bull), moderated from 31.6%/36.4%/41.7% after the October 2026 forensic audit showed the prior levels above the filed gross margin on the current mix (FY2025 gross margin 26.2%, Q2 2026 28.3%). At the filed operating-expense ratio of about 15% of revenue, the moderated margins imply gross margins of about 30%/35%/40% — inside the filed record in every scenario (FY2023 35.0%, FY2022 peak 40.1%). | 55 |
| **Recent Trend** | Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution. | 40 |
| **Forward Growth** | $4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered. | 62 |
| **Valuation** | DCF base $79.71 implies 23% downside from $103.43 on the corrected model; the market prices an 11.5% CAGR, just under our 12% base case. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers. | 58 |
| **Catalysts & Risk** | Q3 earnings Nov 4 and the year-end Oak Ridge centrifuge milestone are near-term positives. HALEU prepayments fund the build without debt. Offset: dilution overhang from the September raise, DOE funding dependence, and contingent-backlog execution risk. Balanced, slightly positive. | 62 |

# Investment view

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($116.73); further equity raises or DOE funding cuts would test the bear ($51.11).

**Investment view: Hold, Valuation Concerns. The $81.81 blended target implies -21%, balancing the $51.11 / $79.71 / $116.73 Bear / Base / Bull outcomes.**

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